

CHAPTER 3

CHAPTER 3

GREENWASHING: CORPORATE RESPONSIBILITY AND ACCOUNTABILITY

Can Indian corporate law treat greenwashing as a real breach of duty rather than bad corporate behaviour? This chapter argues that it can in theory, but not yet in practice. The legal architecture is thicker than it first appears: corporate personality theories, Hohfeldian analysis, fiduciary doctrine and disclosure law all provide tools for treating misleading environmental claims as legally significant. The problem lies elsewhere. Those tools are only weakly translated into liability.

The discussion moves through three linked questions. What kind of corporate person does Indian law imagine when it imposes environmental duties? What precise legal relations emerge when those duties are broken down into rights, duties, powers, privileges, immunities and liabilities? And does the shift from voluntary CSR to mandatory ESG disclosure create accountability, or only more disclosure? Throughout, the chapter keeps the distinction between *lex lata* and *lex ferenda* clear.

3.1 JURISPRUDENTIAL AND THEORETICAL FRAMEWORKS OF CORPORATE RESPONSIBILITY

Theories of the corporation matter here because they shape how far Section 166(2) can go in creating an enforceable legal duty. If the corporation is seen as only a legal device, environmental duties may look narrow and purely statutory. But if it is seen as a real social institution with obligations to several groups, the same provision can support a wider reading. This section maps those theories and asks what each one means for greenwashing liability.

3.1.1 FICTION THEORY

The Fiction Theory, associated with Savigny and Salmond, treats the corporation as a legal construct rather than a real person. Personality, reason and will belong to human beings; the company has legal personality only because the law chooses to recognise

it.¹⁴⁷ Some accounts trace this idea to Pope Innocent IV's use of *persona ficta* in the thirteenth century.¹⁴⁸

This theory is closely tied to the Concession Theory. If the corporation exists because the state grants legal personality, the state may also attach conditions to that grant, including duties about environmental protection and truthful environmental claims.

Significance for greenwashing accountability: The Fiction Theory raises a specific doctrinal question regarding Section 166(2), if the corporation is merely a legal artifice created by state concession, then the state possesses inherent authority to impose conditions on the corporate entity, including a duty to protect the environment and ensure the veracity of environmental claims. Under this theory, the state's power to regulate corporate environmental communications is not an external constraint but flows from the very grant of corporate personality. However, the Fiction Theory's limitation on non-contractual liabilities creates a doctrinal obstacle: if the corporate person cannot bear obligations beyond those explicitly created by statute or contract, then the broad language of Section 166(2) ("for the protection of environment") may be read narrowly, limiting its application to specific statutory duties rather than an expansive obligation to prevent greenwashing across all corporate communications.

3.1.2 REALIST THEORY

The Realist Theory, developed by Otto Gierke and F.W. Maitland, takes the opposite view. It treats the corporation as a real social body with its own existence, purpose and capacity for action. On this account, the company is not merely a technical legal shell. It is a real actor that creates real effects in the world.

Acknowledging the corporation as an autonomous real person has significant implications for accountability. If the corporation is a real actor, it can meaningfully bear rights and duties. Its dealings with employees, consumers, investors and

¹⁴⁷ Muzaffar Hassan et al., *The Myth of Corporate Personality: A Comparative Legal Analysis*, 1 Int'l J. Bus. & Soc. Sci. 166 (2012).

¹⁴⁸ Muzaffar Hassan et al., *The Myth of Corporate Personality: A Comparative Legal Analysis*, 1 Int'l J. Bus. & Soc. Sci. 166 (2012); see also Otto Gierke, *Political Theories of the Middle Ages* xii–xlv (Frederic William Maitland ed. & trans., 1900) (grounding *persona ficta* in medieval legal doctrine).

communities are not incidental. They are part of what corporate existence consists of.¹⁴⁹

Significance for greenwashing accountability: Realist Theory gives the strongest support to a broad reading of Section 166(2). If the company is a real social actor, then its environmental claims create real legal relations with people who rely on them. Greenwashing is not just bad publicity. It is a breach of duties that arise from the corporation's place in society.

3.1.3 PURPOSE THEORY

Modern purpose-based theories argue that legal personality is justified by function. A corporation should be recognised because it serves a lawful social or economic purpose, not because personality is somehow inherent in it.¹⁵⁰ On this view, directors are not simply agents of shareholders. Their central duty is to keep the corporation aligned with its lawful purpose.¹⁵¹

Significance for greenwashing accountability: This theory sharpens one key question: is environmental protection part of the corporation's lawful purpose under Indian law, or only a side consideration? If Section 166(2) makes it part of corporate purpose, directors who approve misleading green claims act against that purpose and breach fiduciary duty.

3.1.4 STAKEHOLDER THEORY

Stakeholder theory focuses on the company's relationships with all groups affected by its activities, not only shareholders.¹⁵² Freeman's well-known formulation includes any group or individual who can affect, or is affected by, corporate action. In that

¹⁴⁹ Otto Gierke, *Political Theories of the Middle Ages* xii–xlv (Frederic William Maitland ed. & trans., 1900).

¹⁵⁰ Asaf Raz, *A Purpose-Based Theory of Corporate Law* (unpublished manuscript, 2020), <https://ssrn.com/abstract=3524499> (last visited Apr. 17, 2024).

¹⁵¹ Colin Mayer, *The Purpose of Law and the Law of Purpose* 15–45 (2022).

¹⁵² R. Edward Freeman, *Strategic Management: A Stakeholder Approach* 25–46 (1984); see also R. Edward Freeman et al., *Stakeholder Theory: The State of the Art* 1–30 (2010).

framework, ESG concerns are not external distractions. They are part of how the firm creates and distributes value.

Significance for greenwashing accountability: Stakeholder theory fits the wording of Section 166(2), which names several beneficiaries and separately mentions environmental protection. But it also exposes the main legal problem, that is, even if the statute recognises environmental interests, do environmental stakeholders have enforceable rights, or only moral claims? That issue becomes central in the Hohfeldian analysis below.

3.1.5 CONTRACTUAL THEORY

The Contractual Theory sees the corporation as a voluntary association built through private agreement. On this view, the company is mainly a nexus of contracts among participants.¹⁵³ That makes accountability look narrow. Managers are expected to advance the interests fixed by those contracts, usually framed as shareholder profit, while broader social duties appear secondary unless the law expressly imposes them.¹⁵⁴

Significance for greenwashing accountability: Contractual Theory creates the strongest resistance to greenwashing liability because misleading environmental claims may still appear profit-maximising in the short term. But Section 166(2) cuts against that model. Parliament has imposed an environmental duty that cannot be displaced by private ordering, which means Indian law does not accept a purely contractual view of corporate purpose.

¹⁵³ Michael C. Jensen & William H. Meckling, *Theory of the Firm: Managerial Behavior, Agency Costs and Ownership Structure*, 3 J. Fin. Econ. 305 (1976); see also Neelam Chennattu, *Theories of Corporate Social Responsibility (CSR) and Corporate Integrity*, in *Handbook of Research on Behavioral Finance and Investment Strategies* 1 (Zeynep Copur ed., 2020).

¹⁵⁴ Karl Martin Ekornes Mertens, *Milton Friedman and Social Responsibility: An Ethical Defense of the Stockholder Theory* 20–40 (unpublished M.A. thesis, Univ. of Oslo, 2013); see also Milton Friedman, *The Social Responsibility of Business Is to Increase Its Profits*, N.Y. Times Mag., Sept. 13, 1970, at 32.

3.1.6 SYNTHESIS

These theories point in different directions. Fiction and Contractual theories tend to confine liability to clear statutory breaches. On the other hand, Realist, Purpose and Stakeholder theories support a wider environmental duty and fit more comfortably with the wording of Section 166(2). On balance, Indian corporate law, through the textual structure of Section 166(2), aligns most closely with the Realist-Stakeholder position.

3.2 GENESIS AND EVOLUTION OF CORPORATE RESPONSIBILITY IN SOCIETY

Was Section 166(2)'s environmental mandate a novel imposition? Or was it a return to an older idea, namely that corporate privilege carries social obligation? The historical record points to the latter. If that is right, then the director's environmental duty has deeper roots than its 2013 statutory expression suggests.

3.2.1 ANCIENT ORIGINS AND MEDIEVAL FOUNDATIONS

The concept of Corporate Responsibility (CR), or Corporate Social Responsibility (CSR), is not a modern invention; rather, it is deeply rooted in the history of organizations operating within society.¹⁵⁵ For millennia, spanning from antiquity through the medieval period and into the early modern era, legal personhood was often inherently tied to the expectation that organizations would demonstrate a public benefit or social purpose as a prerequisite for their legal existence and continued evolution.¹⁵⁶ Organizations needed to serve the public good. This historical requirement established the fundamental understanding that corporate privilege was inseparable from a wider responsibility to society.

¹⁵⁵ Herlina Jupiter et al., *Tracing the Evolution of Corporate Social Responsibility: A Historical Review*, 7 Int. J. Entrepreneurship & Mgmt. Prac. 218 (2024).

¹⁵⁶ Leonardo Davoudi, Christopher McKenna & Rowena Olegario, *The Historical Role of the Corporation in Society*, 6 J. Brit. Acad. 17 (2018).

Ancient Rome reserved formal legal personhood for bodies serving recognised social functions, such as municipalities, religious bodies and charities.¹⁵⁷ Commercial activity could exist, but often in forms tied to state or community purposes, such as *societates publicanorum* involved in public works and tax collection.¹⁵⁸ Similar patterns appeared elsewhere, including in Ancient India's *sreni*, which combined trade with charitable and community roles.¹⁵⁹

In medieval Europe, canon law expanded the idea of *persona ficta* mainly for religious, educational and civic bodies.¹⁶⁰ Guilds also mixed commerce with social regulation and they maintained standards, trained apprentices and supported members through welfare-type arrangements.¹⁶¹ By contrast, more purely private trade often used contractual forms such as the *commenda* and *mudaraba*, which offered business flexibility without full corporate personality.¹⁶²

3.2.2 EARLY MODERN CHARTERED COMPANIES

In the early modern period, commercial corporations were usually chartered to serve state goals. As guild power declined, states granted charters to joint-stock companies in return for trade expansion, colonial administration and other public objectives.

Companies such as the Muscovy Company and the English East India Company pursued profit, but their legal status was tied to mercantilist policy and imperial

¹⁵⁷ Leonardo Davoudi, Christopher McKenna & Rowena Olegario, *The Historical Role of the Corporation in Society*, 6 J. Brit. Acad. 17 (2018), at 22–23.

¹⁵⁸ Leonardo Davoudi, Christopher McKenna & Rowena Olegario, *The Historical Role of the Corporation in Society*, 6 J. Brit. Acad. 17, 17 (2018).

¹⁵⁹ Vikramaditya S. Khanna, *The Economic History of the Corporate Form in Ancient India* (2005) (unpublished manuscript), <https://ssrn.com/abstract=796464> (last visited Apr. 18, 2024).

¹⁶⁰ Leonardo Davoudi, Christopher McKenna & Rowena Olegario, *The Historical Role of the Corporation in Society*, 6 J. Brit. Acad. 17 (2018).

¹⁶¹ Ian Anders Gadd & Patrick Wallis, *Guilds, Society and Economy in London, 1450-1800* 15–40 (Ian Anders Gadd & Patrick Wallis eds., Centre for Metropolitan History 2002), <https://researchspace.bathspa.ac.uk/2936> (last visited Apr. 29, 2024).

¹⁶² Leonardo Davoudi, Christopher McKenna & Rowena Olegario, *The Historical Role of the Corporation in Society*, 6 J. Brit. Acad. 17 (2018).

strategy.¹⁶³ The grant of monopoly and corporate personality came with expectations of service. These companies were also expected to provide public goods in the places where they operated, including employment, housing, education and medical support.¹⁶⁴

The period also developed features that later became central to modern corporate governance: transferable shares, permanent capital, separation of ownership from management, formal accounts and shareholder control over directors.¹⁶⁵ Trust still depended heavily on reputation and social norms rather than detailed modern regulation.

3.2.3 THE INDUSTRIAL ERA

In Britain, the nineteenth century broke the formal link between incorporation and social purpose.¹⁶⁶ The Registration Act of 1844 and the Joint Stock Company Act of 1856 made incorporation broadly available without the need to prove public benefit.¹⁶⁷ Similar shifts occurred in the United States.¹⁶⁸

This change went together with the spread of limited liability, consolidated in Britain by the Companies Act of 1862.¹⁶⁹ Limited liability made investment safer and more liquid, but it also weakened the connection between ownership and responsibility for

¹⁶³ Michael Wagner, *Profit and Surety: The British Chartered Trading Companies and the State*, in *A History of Socially Responsible Business, c.1600-1950*, 95 (William A Pettigrew & David Chan Smith eds., 2017), https://link.springer.com/10.1007/978-3-319-60146-5_4 (last visited May 1, 2024).

¹⁶⁴ Edmond J. Smith, *Socially Responsible and Responsive Business in Seventeenth-Century England*, in *A History of Socially Responsible Business, c.1600-1950*, 65 (William A Pettigrew & David Chan Smith eds., 2017), https://link.springer.com/10.1007/978-3-319-60146-5_3 (last visited May 4, 2024).

¹⁶⁵ Phillip Lipton, *The Evolution of the Joint Stock Company to 1800: A Study of Institutional Change* (2009) (unpublished manuscript), <https://ssrn.com/abstract=1413502> (last visited May 7, 2024).

¹⁶⁶ Leonardo Davoudi, Christopher McKenna & Rowena Olegario, *The Historical Role of the Corporation in Society*, 6 *J. Brit. Acad.* 17 (2018).

¹⁶⁷ Geoffrey Todd, *Some Aspects of Joint Stock Companies, 1844-1900*, 4 *Econ. Hist. Rev.* 46 (1932).

¹⁶⁸ Phillip I. Blumberg, *Limited Liability and Corporate Groups*, 11 *J. Corp. L.* 573 (1986).

¹⁶⁹ Companies Act, 1862, 25 & 26 Vict. c. 89 (U.K.) (consolidating the Joint Stock Companies Act, 1856, and the Limited Liability Act, 1855, into a single statutory framework); *see also* Geoffrey Todd, *Some Aspects of Joint Stock Companies, 1844-1900*, 4 *Econ. Hist. Rev.* 46 (1932).

corporate harm.¹⁷⁰ Cases such as *Hutton v. West Cork Railway Co.* reflected a legal culture that separated business management from charity and expanded managerial discretion.¹⁷¹

Many firms still pursued welfare measures voluntarily, from worker housing to health insurance.¹⁷² But these were increasingly matters of choice rather than conditions of legal existence. The corporate form became more private and social responsibility became less built in.

3.2.4 CONCEPTUALIZATION, FORMALIZATION AND REGULATORY CONSTRAINT (1930S–1970S)

The fundamental debate over corporate purpose, whether corporations should pursue broader social goals or maximize profits, is conventionally traced back to the 1930s. This era featured a classic clash between legal scholars Professor Adolf Berle and Professor Merrick Dodd.¹⁷³ Berle defended the traditional view that corporate managers should be considered trustees of the shareholders.¹⁷⁴ Dodd, on the other hand, argued that the modern corporation had broader social responsibilities. He suggested that corporate managers should “voluntarily and without waiting for legal compulsion manage it in such a way as to fulfill those responsibilities” toward employees, consumers and the general public.¹⁷⁵ This dispute was fundamentally about the scope of managerial privilege. Dodd believed that expanding this privilege,

¹⁷⁰ Mark I. Weinstein, *Don't Buy Shares Without It: Limited Liability Comes to American Express*, 37 J. Legal Stud. 189, 190–92 (2008); see also Phillip I. Blumberg, *Limited Liability and Corporate Groups*, 11 J. Corp. L. 573, 577–80 (1986).

¹⁷¹ *Hutton v. West Cork Railway Co.*, (1883) 23 Ch. D. 654, 673 (Bowen L.J.) (U.K.).

¹⁷² Leonardo Davoudi, Christopher McKenna & Rowena Olegario, *The Historical Role of the Corporation in Society*, 6 J. Brit. Acad. 17 (2018), at 30–35; see also William A. Pettigrew & David Chan Smith, *A History of Socially Responsible Business, c.1600-1950*, at 160–80 (2017) (discussing the Cadbury family's model village at Bournville and Krupp's welfare institutions in Essen).

¹⁷³ See A. A. Berle, Jr., *Corporate Powers as Powers in Trust*, 44 Harv. L. Rev. 1049 (1931); see also E. Merrick Dodd, Jr., *For Whom Are Corporate Managers Trustees?*, 45 Harv. L. Rev. 1145 (1932).

¹⁷⁴ A. A. Berle, Jr., *Corporate Powers as Powers in Trust*, 44 Harv. L. Rev. 1049 (1931).

¹⁷⁵ E. Merrick Dodd, Jr., *For Whom Are Corporate Managers Trustees?*, 45 Harv. L. Rev. 1145, 1148 (1932).

driven by a professional spirit of public service, would allow managers sufficient legal freedom to make socially oriented decisions that improved society. Berle, however, expressed extreme wariness regarding managerial power, arguing that expanding such privilege would lead to a “social-economic absolutism of corporate administrators” that would be “unsafe”.¹⁷⁶ Berle thought it was unrealistic to expect corporate leaders to assume social responsibilities without an external mechanism enforcing this function. Beyond this core conflict, initial discussions on corporate social responsibility also began with seminal works such as Barnard’s *The Functions of the Executive* (1938) and Clark’s *Social Control of Business* (1939).¹⁷⁷ This formative period emphasized recognizing corporations as entities with social responsibilities and sought to initiate a shift toward balancing profit objectives with stakeholder needs.

In the 1950s and 1960s, CSR became a more explicit field of thought. The influential 1953 publication, *Social Responsibilities of the Businessman*, by Howard Bowen, is considered a pivotal work, leading to him being titled the “Father of CSR”.¹⁷⁸ Bowen defined social responsibility in terms of pursuing policies and actions aligned with societal values.¹⁷⁹ Other writers expanded the moral case for corporate social responsibility,¹⁸⁰ while civil rights and environmental movements made the issue harder to ignore.¹⁸¹ Milton Friedman famously argued that a corporation’s singular

¹⁷⁶ A. A. Berle, Jr., *For Whom Corporate Managers Are Trustees: A Note*, 45 Harv. L. Rev. 1365, 1367–68 (1932).

¹⁷⁷ Chester I. Barnard, *The Functions of the Executive* (1938); see also J. Maurice Clark, *Social Control of Business* (2d ed. 1939).

¹⁷⁸ Howard R. Bowen, *Social Responsibilities of the Businessman* (1953); see also Archie B. Carroll, *Corporate Social Responsibility: Evolution of a Definitional Construct*, 38 Bus. & Soc’y 268, 270 (1999) (describing Bowen as the “Father of CSR”).

¹⁷⁹ Howard R. Bowen, *Social Responsibilities of the Businessman* 6 (1953) (defining social responsibility as “the obligations of businessmen to pursue those policies, to make those decisions, or to follow those lines of action which are desirable in terms of the objectives and values of our society”).

¹⁸⁰ Richard Eells, *Corporate Giving in a Free Society* (1956); see also Ben Selekman, *A Moral Philosophy for Management* (1959); see also Herlina Jupiter et al., *Tracing the Evolution of Corporate Social Responsibility: A Historical Review*, 7 Int. J. Entrepreneurship & Mgmt. Prac. 218, 220–22 (2024).

¹⁸¹ Rachel Carson, *Silent Spring* (1962); see also Paul R. Ehrlich, *The Population Bomb* (1968).

duty was to increase profits.¹⁸² Even so, he framed profit-seeking as operating within law and basic social norms.¹⁸³

The 1970s then moved the conversation from theory to regulation. Environmental crises, declining public trust and events such as the Santa Barbara oil spill led to stronger state intervention.¹⁸⁴ That intervention took institutional form in the creation of the EPA and other major regulatory bodies in the early 1970s in the USA.¹⁸⁵ The idea of a corporate “social contract” gained prominence,¹⁸⁶ and environmental limits entered mainstream policy debate.¹⁸⁷ Carroll’s four-part framework later captured this shift by treating economic, legal, ethical and discretionary responsibilities as connected rather than mutually exclusive.¹⁸⁸

Doctrinal synthesis of the historical evolution

The historical pattern is clear. Corporate law did not start from a purely private view of the firm. Social purpose was once part of incorporation, receded during nineteenth-century liberalisation and later returned through regulation. Section 166(2) is therefore better understood as a restoration of an older idea and corporate privilege carries social obligation.

¹⁸² Milton Friedman, *The Social Responsibility of Business Is to Increase Its Profits*, N.Y. Times Mag., Sept. 13, 1970, at 32.

¹⁸³ Keith Davis, *Can Business Afford to Ignore Social Responsibilities?*, 2 Cal. Mgmt. Rev. 70 (1960) (articulating the “Iron Law of Responsibility”); see also Clarence C. Walton, *Corporate Social Responsibilities* (1967); see also Milton Friedman, *Capitalism and Freedom* 133 (1962).

¹⁸⁴ Adam Rome, *The Genius of Earth Day: How a 1970 Teach-In Unexpectedly Made the First Green Generation* 1–15 (2013); see also Jack Lewis, *The Birth of EPA*, EPA J., Nov. 1985 (documenting the legislative and political momentum from Earth Day 1970).

¹⁸⁵ Reorganization Plan No. 3 of 1970, 35 Fed. Reg. 15623 (Oct. 2, 1970) (establishing the EPA); Occupational Safety and Health Act of 1970, Pub. L. No. 91-596, 84 Stat. 1590 (establishing OSHA); Civil Rights Act of 1964, Pub. L. No. 88-352, § 705, 78 Stat. 241 (establishing the EEOC); Consumer Product Safety Act, Pub. L. No. 92-573, 86 Stat. 1207 (1972) (establishing the CPSC).

¹⁸⁶ Comm. for Econ. Dev., *Social Responsibilities of Business Corporations* (1971).

¹⁸⁷ Donella H. Meadows et al., *The Limits to Growth: A Report for the Club of Rome’s Project on the Predicament of Mankind* (1972).

¹⁸⁸ Archie B. Carroll, *A Three-Dimensional Conceptual Model of Corporate Performance*, 4 Acad. Mgmt. Rev. 497, 499 (1979).

3.3 JURISPRUDENTIAL ANALYSIS OF CORPORATE RESPONSIBILITY THROUGH HOHFELDIAN PRINCIPLES

3.3.1 AMBIGUITY OF CORPORATE PURPOSE AND UTILITY OF HOHFELDIAN ANALYSIS

The debate on corporate purpose often stalls because it relies on broad labels such as shareholder primacy, stakeholder governance and ESG. Those terms carry many meanings and can hide the legal question that actually matters, that is, who owes what to whom and with what consequence?¹⁸⁹

Hohfeld's framework is useful because it breaks these large ideas into smaller legal relations: right, duty, privilege, no-right, power, liability, immunity and disability.¹⁹⁰ Once the debate is translated into those terms, "corporate purpose" stops looking like a single abstract idea and starts looking like a bundle of concrete legal positions between real actors.¹⁹¹

Hohfeld identified eight fundamental legal conceptions: Right, Duty, Privilege, No-Right, Power, Liability, Immunity and Disability.¹⁹² The relationships between these concepts form a matrix:¹⁹³

¹⁸⁹ Wesley Newcomb Hohfeld, *Some Fundamental Legal Conceptions as Applied in Judicial Reasoning*, 23 Yale L.J. 16 (1913).

¹⁹⁰ Andrew Halpin, *Rights, Duties, Liabilities, and Hohfeld*, 13 Legal Theory 23 (2007), <https://ssrn.com/abstract=982001> (last visited May 8, 2024).

¹⁹¹ Roberto Tallarita, *Hohfeld in the Boardroom*, SSRN Electronic Journal (2025), <https://doi.org/10.2139/ssrn.5349969> (last visited Dec. 12, 2025).

¹⁹² Matthew H. Kramer, *The Hohfeldian Analysis of Legal and Moral Relationships*, in *Rights and Right-Holding: A Philosophical Investigation* (2024).

¹⁹³ Alan D. Cullison, *A Review of Hohfeld's Fundamental Legal Concepts*, 16 Clev.-Marshall L. Rev. 559 (1967).

Table 3.1: Hohfeld’s Fundamental Legal Conceptions

Entitlements (Advantages)	Correlates (Disadvantages)
Claim-Right (or Right)	Duty
Liberty (or Privilege)	No-Right
Power	Liability
Immunity	Disability

A claim-right means one party is protected and another party therefore owes a duty. A privilege means one party is free to act and another party has no-right to stop that act.¹⁹⁴ A power means one party can change legal relations and another party is liable to that change. An immunity means one party is protected from such change and another party is under a disability.¹⁹⁵

The value of this scheme is its precision. It forces the analyst to identify the exact actors, the exact act and the exact legal consequence. This is particularly useful in corporate law, where broad language often hides who can enforce a duty and who cannot.

Hohfeld also took a strongly reductionist view of the corporation.¹⁹⁶ When lawyers say that directors owe duties “to the company”, Hohfeld’s method asks a harder question, which real person or institution can actually enforce that duty? That shift matters in this thesis because Section 166(2) sounds broad, but its force depends on whether any stakeholder can convert that duty into a legal claim.

¹⁹⁴ Matthew H. Kramer, *The Hohfeldian Analysis of Legal and Moral Relationships*, in *Rights and Right-Holding: A Philosophical Investigation* (2024).

¹⁹⁵ Andrew Halpin, *Rights, Duties, Liabilities, and Hohfeld*, 13 *Legal Theory* 23 (2007), <https://ssrn.com/abstract=982001> (last visited May 8, 2024).

¹⁹⁶ Roberto Tallarita, *Hohfeld in the Boardroom*, *SSRN Electronic Journal* (2025), <https://doi.org/10.2139/ssrn.5349969> (last visited Jan 13, 2026), at 8–10.

The first pair of relations, right/duty and privilege/no-right, concerns conduct itself: what an actor must do or may do. The second pair, power/liability and immunity/disability, concerns legal change: who can alter legal positions and who is shielded from that alteration. In corporate governance both levels matter. A board may have the privilege to choose business strategy, but regulators, shareholders, or courts may still have powers that alter the board's legal position.

3.3.2 DECOMPOSING CORPORATE RESPONSIBILITY AND LIABILITY

The key Hohfeldian insight is that corporate law starts from managerial privilege. A privilege is the absence of a duty to refrain from an action. When a corporate leader holds a privilege to make a decision, they are not legally accountable to another party for exercising that choice. For corporate decision-makers, this privilege translates into broad discretion, freedom to make complex business choices without legal interference. If all important choices were rigidly pre-determined by law, the skills required of a CEO would be minimal. Because managers have such wide legal discretion, even a theoretical duty to maximize shareholder wealth often remains practically unenforceable by courts. This managerial privilege lies at the core of almost all models of corporate purpose.

Although managerial privilege forms the core of corporate decision-making, it is never absolute and is constantly constrained by adversarial legal relations.

Duties to the State: Essential constraints on corporate activities take the form of duties owed to the state derived from regulatory or environmental laws. When a corporation faces an environmental rule, the corporate decision-maker has a duty toward the state to comply and the state holds the correlative right. These duties explicitly oriented toward societal objectives run parallel to and limit, the manager's general privilege.

Duties to Stakeholders/Shareholders: Managerial privilege is also limited by specific duties owed to shareholders and, in certain contexts, stakeholders. Where a powerful legal duty to maximize shareholder value exists, it is typically narrow and is applicable only in exceptional, verifiable circumstances. The most famous example is the Revlon doctrine: when a board decides to sell the company, they acquire a duty to choose the

best offer because this scenario provides a narrow decisional space and an easily verifiable criterion.¹⁹⁷ Similarly, if a statute imposed a direct duty on corporate decision-makers toward specific affected parties (like pollution victims), those parties would hold the correlative right.

A key insight from applying Hohfeld's conceptions to corporate liability is that enforceable liability can arise even where the underlying conduct is lawful. This means that the law can attach financial consequences to lawfully permitted but risky activities by allocating the associated risk/cost to the actor.¹⁹⁸ That matters for greenwashing because liability need not depend only on proving an express prohibition. It can also follow from the legal decision to place the cost of misleading environmental risk on the company or its officers.

The Problem of Cooperation

Hohfeld's distinction between right and privilege is vital for assessing cooperative corporate behavior. A privilege simply means permission to act; the correlative no-right means others cannot prevent the privilege-holder from acting. However, this privilege does not impose a correlative duty to cooperate.

Applying this to corporate governance reveals a critical flaw in stakeholder-oriented models relying solely on expanding managerial privilege. Managers may have the privilege to make socially desirable choices, meaning shareholders have no right to prevent the decision. But this privilege does not impose a duty on shareholders not to interfere. They may exercise legal powers (appointing or removing directors, terminating contractual relations) to undermine managers' decisions. Granting managers a privilege to act responsibly does not guarantee the outcome will be realized, as it relies entirely on shareholders' non-interference. This highlights the fundamental lack of cooperative architecture within discretion-based models. So

¹⁹⁷ *Revlon, Inc. v. MacAndrews & Forbes Holdings, Inc.*, 506 A.2d 173, 182 (Del. 1986) (holding that when a sale or break-up of the company becomes inevitable, the board's duty narrows to obtaining the best price reasonably available for the stockholders).

¹⁹⁸ *Vincent v. Lake Erie Transp. Co.*, 109 Minn. 456, 124 N.W. 221 (1910).

discretion alone does not create cooperation. If the law wants a real outcome, it usually needs duties, remedies, or countervailing powers.

Limited Liability as Investor Irresponsibility

Limited liability is best seen here as an investor immunity. Shareholders are protected from full personal exposure to corporate debts.¹⁹⁹ Creditors and non-contractual third parties face the matching disability.²⁰⁰ That design made modern liquid capital markets possible, but it also separated investment from responsibility.²⁰¹ The sharpest effect falls on outsiders harmed by corporate activity, including environmental victims, because they never consented to that risk allocation.²⁰²

3.3.3 DESIGNING RESPONSIBLE CORPORATE GOVERNANCE

Hohfeld turns the corporate-purpose debate into a design question, that is, who gets discretion, who can check it and what remedy follows misuse? That is more useful than repeating slogans about shareholder primacy or stakeholder governance. Different reform models can then be compared in concrete terms like do they expand privilege, create new duties, or give new powers to other actors?

A central weakness of managerial discretion is that it does not tell us what result will follow. A privilege gives room to act. It does not guarantee that the action will be socially responsible. Everything depends on motive. Many stakeholder models quietly assume that managers will use extra freedom for public good. Dodd was relatively

¹⁹⁹ Mark I. Weinstein, *Don't Buy Shares Without It: Limited Liability Comes to American Express*, 37 J. Legal Stud. 189, 191–93 (2008); *see also* Roberto Tallarita, *Hohfeld in the Boardroom*, SSRN Electronic Journal (2025), <https://doi.org/10.2139/ssrn.5349969> (last visited Dec. 12, 2025), at 22–25.

²⁰⁰ Phillip I. Blumberg, *Limited Liability and Corporate Groups*, 11 J. Corp. L. 573 (1986), at 578–82.

²⁰¹ Roberto Tallarita, *Hohfeld in the Boardroom*, SSRN Electronic Journal (2025), <https://doi.org/10.2139/ssrn.5349969> (last visited Dec. 12, 2025), at 24–26 (describing the “depersonalization of financial relations” as a consequence of limited liability’s generalization).

²⁰² Henry Hansmann & Reinier Kraakman, *Toward Unlimited Shareholder Liability for Corporate Torts*, 100 Yale L.J. 1879, 1880–85 (1991) (arguing that limited liability externalizes costs onto involuntary creditors including tort victims).

optimistic about that view.²⁰³ Berle was not.²⁰⁴ His warning still matters. If benevolence cannot be verified, law should not rest on it.

This risk is compounded by the fact that the introduction of generalized limited liability historically severed the connection between “investing” and “responsibility”.²⁰⁵ That institutional separation strengthens the case for governance structures that do more than rely on unstructured managerial discretion.²⁰⁶

Responsible corporate governance should therefore be built through precise and enforceable legal relations, not through vague appeals to ethics. Where benevolence cannot be verified, discretion should be matched with duties, remedies, or countervailing powers.

In view of the argument so far, following design principles should be followed when designing corporate responsibility laws:

1. *Verifiable Benevolence*: Managerial privilege may only be expanded if there is persuasive evidence that decision-makers will act in the desired way regardless of personal financial interest.
2. *Enforceable Duties*: If benevolence is not verifiable, socially desirable conduct must be enforced through duties. A Hohfeldian duty is correlative to a claim-right held by another party.
3. *Countervailing Powers*: Alternatively, if outright duties are inappropriate, the expanded privilege must be balanced with countervailing powers. Granting

²⁰³ E. Merrick Dodd, Jr., *For Whom Are Corporate Managers Trustees?*, 45 Harv. L. Rev. 1145, 1153–54 (1932).

²⁰⁴ A. A. Berle, Jr., *For Whom Corporate Managers Are Trustees: A Note*, 45 Harv. L. Rev. 1365, 1367–68 (1932).

²⁰⁵ Roberto Tallarita, *Hohfeld in the Boardroom*, SSRN Electronic Journal (2025), <https://doi.org/10.2139/ssrn.5349969> (last visited Dec. 12, 2025), at 24–27; *see also* Mark I. Weinstein, *Don’t Buy Shares Without It: Limited Liability Comes to American Express*, 37 J. Legal Stud. 189 (2008), at 192–93.

²⁰⁶ Margaret M. Blair & Lynn A. Stout, *A Team Production Theory of Corporate Law*, 85 Va. L. Rev. 247, 280–81 (1999).

powers to stakeholders, creates mutual liabilities and incentives that influence managerial behavior in a way that is traceable and enforceable.

3.3.4 DIRECT RELEVANCE TO GREENWASHING

Chapter 2 showed why consumer protection law cannot carry the whole burden of regulating greenwashing. That makes corporate governance law the next doctrinal site to test. Hohfeld's framework helps by forcing four concrete questions that can be answered through legal source analysis:

- (i) which legal duties are breached by greenwashing and who holds correlative claim-rights;
- (ii) what managerial privileges exist and where their legal limits lie;
- (iii) what powers allow corporate actors to change others' legal positions; and
- (iv) which immunities insulate key beneficiaries from accountability.

What duties are breached and who can enforce them?

Greenwashing engages three groups of duties, each with a different level of enforceability:

1. *Duties to the State (strongest)*: Consumer protection, advertising and securities-disclosure regimes impose duties not to mislead. The State holds correlative claim-rights and can impose sanctions. In India, false environmental claims can trigger enforcement under the CCPA's 2024 Guidelines; misleading sustainability disclosures may breach disclosure obligations under SEBI's framework.
2. *Duties connected to investors and the corporate person (often enforceable, but channelled)*: Where greenwashing produces material misstatements relevant to investors, it implicates disclosure duties and governance duties aimed at protecting the company from predictable harm (sanctions, litigation, reputational loss).

3. *Potential duties toward environmental stakeholders/public interest (normatively central, legally uncertain)*: Section 166(2) requires directors to act “for the protection of the environment”. But the next question is decisive: who holds the correlative claim-right and who can sue? If no clear claimant exists, the duty risks operating as aspiration rather than enforceable law.

Greenwashing liability also need not depend only on an express prohibition. As noted above, the law can attach consequences to risky conduct through cost allocation. If environmental claims are treated as risk-bearing activities, liability can follow when harm materialises even where the duty framework is incomplete.

Why “managerial discretion” does not include a licence to mislead

Managers do have broad freedom over business communication. But that freedom ends where the law imposes a duty not to mislead. Greenwashing is therefore better understood as conduct that moves outside the privileged sphere, not as mere bad ethics inside it. Even where formal prohibition is hard to show, remedial liability may still attach if misleading claims cause legally recognised harm.

Power/Liability: informational advantage as a mechanism of governance failure

Corporate actors also hold important powers: they can issue disclosures, raise capital, shape market perception and control ESG data. That informational advantage matters because others act on it. Investors may have stronger remedies for material misstatements, but communities and environmental victims usually do not. The result is uneven protection.

Immunity/Disability: limited liability and the insulation of beneficiaries

Limited liability protects investors from direct personal exposure while leaving most downside on the corporate entity. In greenwashing cases, that means the upside of a green reputation can be spread widely, while the legal downside stays concentrated. The point is not that investor immunity is absolute, but that it weakens deterrence.

Connecting the Hohfeldian decomposition back to liability

In Hohfeldian terms, greenwashing is not a vague “irresponsibility”. It is a patterned interaction of:

1. Breached duties (especially to regulators and sometimes through investor-facing and company-protective duties)
2. Misuse of managerial privilege by crossing from permissible communication into prohibited deception
3. Exploitation of informational advantage in legally significant contexts, leaving stakeholders vulnerable with uneven remedial protection
4. An underlying immunity/disability structure (limited liability) that can insulate beneficiaries and concentrate liability on the corporate person

3.4 PRINCIPAL-AGENT THEORY AND INFORMATION ASYMMETRY

The Hohfeldian framework explains the legal structure. Principal-agent theory explains why that structure still fails in practice.²⁰⁷ The core issue is simple: even where duties exist, are there workable monitoring and enforcement mechanisms, or does information asymmetry make those duties too weak to matter?

Principal-agent theory treats the corporation as a setting in which one group delegates decision-making power to another. Shareholders are the usual principals and directors or officers the usual agents.²⁰⁸ The agency relationship generates three cost categories: (1) monitoring costs incurred by principals to observe agent behavior; (2) bonding costs incurred by agents to demonstrate alignment with principal interests; and (3) residual loss arising from irreducible divergence between agent decisions and those that would maximize principal welfare.²⁰⁹

²⁰⁷ Michael C. Jensen & William H. Meckling, *Theory of the Firm: Managerial Behavior, Agency Costs and Ownership Structure*, 3 J. Fin. Econ. 305 (1976).

²⁰⁸ Adolf A. Berle & Gardiner C. Means, *The Modern Corporation and Private Property* (1932).

²⁰⁹ Michael C. Jensen & William H. Meckling, *Theory of the Firm: Managerial Behavior, Agency Costs and Ownership Structure*, 3 J. Fin. Econ. 305, 308–10 (1976) (defining monitoring costs, bonding costs, and residual loss as the three components of agency costs).

In the ESG context, each of these costs is serious. Monitoring environmental claims requires technical expertise. Bonding through sustainability reporting is susceptible to manipulation. Residual loss appears when the image presented to the market diverges from actual environmental performance.

Information Asymmetry and Greenwashing

The fundamental condition enabling greenwashing is information asymmetry. Corporate insiders possess a systematic advantage over external stakeholders regarding the firm's actual environmental performance. Directors and officers have direct access to operational data, internal audits and the true environmental impact of corporate activities. Shareholders, consumers, regulators and the public must rely on corporate disclosures, curated and presented by the very agents whose performance is being evaluated.

This asymmetry produces both adverse selection and moral hazard. Outsiders cannot easily distinguish genuine sustainability from polished signalling and insiders can benefit from that uncertainty by overstating performance while underinvesting in real environmental improvement.

Application to Indian Corporate Governance

India adds its own complications. Many firms are not widely held in the Anglo-American sense, but are controlled by promoter groups or families.²¹⁰ That can compress the traditional shareholder-manager divide while deepening the gap between controllers and minority shareholders or outside stakeholders.

At the same time, independent verification is still limited. SEBI's phased assurance model is an acknowledgement of that weakness rather than a full solution.²¹¹

²¹⁰ Jayati Sarkar & Subrata Sarkar, *Large Shareholder Activism in Corporate Governance in Developing Countries: Evidence from India*, 1 Int'l Rev. Fin. 161 (2000); see also Rajesh Chakrabarti et al., *Corporate Governance in India*, 20 J. Applied Corp. Fin. 59 (2008) (discussing concentrated promoter ownership as characteristic of Indian firms).

²¹¹ SEBI, Master Circular for ESG Rating Providers, Circular No. SEBI/HO/DDHS/DDHS-RACPOD1/P/CIR/2024/79 (July 17, 2024), https://www.sebi.gov.in/legal/master-circulars/jul-2024/master-circular-for-environmental-social-governance-esg-rating-providers-erps-_84939.html (last visited Sep. 17, 2025); see also SEBI, Circular on BRSR Core Framework, Circular No. SEBI/HO/CFD/CFD-SEC-2/P/CIR/2023/122 (July 12, 2023),

Oversight is also fragmented across SEBI, MCA, CCPA and environmental regulators, so no single institution has a complete view of both claims and underlying performance.

Principal-agent theory therefore explains the persistence of the accountability vacuum. Duties exist, but the information and monitoring systems needed to enforce them remain patchy.

3.5 FROM VOLUNTARY CSR TO MANDATORY ESG: THE INDIAN TRANSITION

This section examines the regulatory evolution from voluntary Corporate Social Responsibility (CSR) to mandatory Environmental, Social and Governance (ESG) disclosures. The doctrinal inquiry is precise: does the transition from spending-based obligations (Section 135) to disclosure-based obligations (SEBI BRSR) create enforceable legal duties regarding the veracity of environmental claims, or does it merely create procedural compliance requirements that fail to generate substantive accountability? This question is answered by examining the statutory text, regulatory framework and available enforcement data.

3.5.1 SECTION 135 AND THE MANDATORY CSR REGIME

Section 135 of the Companies Act, 2013 was a major experiment in mandatory CSR.²¹² Companies meeting the statutory thresholds must:²¹³

1. Constitute a CSR Committee of the Board with at least one independent director.

https://www.sebi.gov.in/legal/circulars/jul-2023/brsr-core-framework-for-assurance-and-esg-disclosures-for-value-chain_73854.html (last visited May 15, 2024).

²¹² Aradhna Sharma, *Corporate Social Responsibility in India: The Emerging Discourse and Concerns*, 1 Indian J. Indus. Rel. 582 (2013); see also Mallika Tamvada, *Corporate Social Responsibility and Accountability: A New Theoretical Foundation for Regulating CSR*, 5 Int'l J. Corp. Soc. Resp. 1 (2020).

²¹³ Companies Act, 2013, No. 18, § 135(1) (India) (prescribing thresholds of net worth ₹500 crore, turnover ₹1,000 crore, or net profit ₹5 crore).

2. Formulate a CSR Policy indicating activities to be undertaken as specified in Schedule VII.
3. Spend at least 2% of the average net profits of the three preceding financial years pursuant to the CSR policy.
4. Disclose CSR activities in the Board's report and transfer unspent amounts to a Fund specified in Schedule VII with reasons for underspending.

Schedule VII Activities

Schedule VII enumerates permissible CSR activities, including:

- Eradicating hunger, poverty and malnutrition
- Promoting education, gender equality and women's empowerment
- Ensuring environmental sustainability, ecological balance and conservation of natural resources
- Protection of national heritage, art and culture
- Measures for armed forces veterans and their dependents
- Contribution to incubators and research institutions
- Rural and slum area development

Environmental sustainability is expressly included, which creates some overlap with Section 166(2) and later ESG disclosure duties.

Limitations for Environmental Accountability

Despite its groundbreaking nature, Section 135 suffers from significant limitations as a mechanism for preventing greenwashing.²¹⁴ It requires spending, not environmental

²¹⁴ Aradhna Sharma, *Corporate Social Responsibility in India: The Emerging Discourse and Concerns*, 1 Indian J. Indus. Rel. 582 (2013); see also Mallika Tamvada, *Corporate Social Responsibility and Accountability: A New Theoretical Foundation for Regulating CSR*, 5 Int'l J. Corp. Soc. Resp. 1, 8–12 (2020).

performance. It does not ensure that CSR claims are independently verified. And it sits beside, rather than inside, the firm's core business model. A company can spend on visible environmental projects while its main operations continue to cause serious harm.

The penalty structure does not solve that problem. Even after amendment, Section 135 mainly polices compliance with spending obligations, not the truthfulness of environmental narratives.²¹⁵ A director may satisfy CSR formalities while still tolerating misleading green claims elsewhere in the business.

3.5.2 SEBI'S BRSR FRAMEWORK: EVOLUTION AND REQUIREMENTS

SEBI responded to the limits of CSR by building a disclosure-based framework for listed companies.²¹⁶

Table 3.2: Evolution from BRR to BRSR²¹⁷

²¹⁵ Companies Act, 2013, No. 18, § 135(7) (India), *as amended by* Companies (Amendment) Act, 2019, No. 28 (India); *see also* Nishith Desai Associates, *Corporate Social Responsibility: A Policy in Transition* (2019) (noting that the 2019 amendment introduced imprisonment provisions which were subsequently reconsidered following industry criticism).

²¹⁶ Aradhna Sharma, *Corporate Social Responsibility in India: The Emerging Discourse and Concerns*, 1 Indian J. Indus. Rel. 582 (2013); *see also* Mallika Tamvada, *Corporate Social Responsibility and Accountability: A New Theoretical Foundation for Regulating CSR*, 5 Int'l J. Corp. Soc. Resp. 1, 8–12 (2020); *see also* SEBI, Circular on Business Responsibility and Sustainability Reporting, SEBI/HO/CFD/CMD-2/P/CIR/2021/562 (May 10, 2021).

²¹⁷ SEBI, Circular on Business Responsibility Reports, Circular No. CIR/CFD/DIL/8/2012 (Aug. 13, 2012), https://www.sebi.gov.in/legal/circulars/aug-2012/business-responsibility-reports_23245.html (last visited May 16, 2024) (making BRR mandatory for the top 100 listed entities and voluntary for others); *see also* SEBI, Circular on BRR Format for Top 500 Companies, Circular No. CIR/CFD/CMD/10/2015 (Nov. 4, 2015) (expanding BRR applicability to the top 500 listed entities); *see also* SEBI, Circular on Business Responsibility and Sustainability Reporting, Circular No. SEBI/HO/CFD/CMD-2/P/CIR/2021/562 (May 10, 2021), https://www.sebi.gov.in/legal/circulars/may-2021/business-responsibility-and-sustainability-reporting-by-listed-entities_50096.html (last visited May 16, 2024) (replacing BRR with BRSR for the top 1000 listed entities on a voluntary basis for FY 2021-22 and a mandatory basis from FY 2022-23); *see also* SEBI, Circular on BRSR Core Framework, Circular No. SEBI/HO/CFD/CFD-SEC-2/P/CIR/2023/122 (July 12, 2023) (introducing BRSR Core and phased assurance requirements, including value-chain ESG disclosures).

Year	Framework	Status	Applicability
2012	Business Responsibility Report (BRR)	Mandatory	Top 100 listed companies
2015	BRR	Mandatory	Top 500 listed companies
2019	BRR	Mandatory	Top 1000 listed companies
2021	Business Responsibility and Sustainability Report (BRSR)	Voluntary	Top 1000 listed companies
2022-23	BRSR	Mandatory	Top 1000 listed companies
2023	BRSR Core	Introduced	For value chain disclosures
2024-25	BRSR Core with Limited Assurance	Mandatory (phased)	Top 250 listed companies
2026-27	BRSR Core with Reasonable Assurance	Mandatory (phased)	Top 1000 listed companies

BRSR Structure and Content

The BRSR framework requires disclosures across three sections:

1. *Section A – General Disclosures:* Basic company information, operations, products/services, location of operations, employees and CSR details.
2. *Section B – Management and Process Disclosures:* Policy and governance structure for each ESG principle, including governance mechanisms,

stakeholder identification, materiality assessment and organizational governance for sustainability.

3. *Section C – Principle-wise Performance Disclosures*: Detailed metrics across nine principles:

- P1: Conduct and govern with integrity
- P2: Provide goods and services in a sustainable manner
- P3: Respect and promote employee well-being
- P4: Be responsive to stakeholders
- P5: Respect and promote human rights
- P6: Protect and restore the environment
- P7: Engage responsibly in public and regulatory policy
- P8: Promote inclusive growth and equitable development
- P9: Engage with and provide value to consumers responsibly

Principle 6: Environmental Disclosures

For greenwashing analysis, Principle 6 is most relevant. Required disclosures include:

- Total energy consumption and intensity - Use of renewable vs. non-renewable energy - Water consumption and intensity - Scope 1 and Scope 2 greenhouse gas emissions - Waste generation and management - Compliance with environmental regulations - Environmental impact assessments conducted - Biodiversity impact assessment

3.5.3 ASSURANCE GAPS: LIMITED VS. REASONABLE ASSURANCE

Mandatory assurance is an important step, but the difference between limited and reasonable assurance leaves major room for weak verification.

Table 3.3: Limited Assurance versus Reasonable Assurance²¹⁸

Aspect	Limited Assurance	Reasonable Assurance
Level of confidence	Moderate	High
Procedures	Primarily inquiry and analytical procedures	Extensive evidence-gathering, testing and verification
Conclusion	Negatively framed (“nothing has come to our attention..”.)	Positively framed (“in our opinion, the disclosures present fairly..”.)
Work effort	Less extensive	Substantially more extensive
Comparability	Similar to review engagement	Similar to audit engagement

SEBI’s Phased Assurance Requirements

- FY 2024-25: Limited assurance for BRSR Core indicators for top 250 listed companies
- FY 2025-26: Limited assurance extended to top 500 companies; top 250 transition to reasonable assurance
- FY 2026-27: All top 1000 listed companies require reasonable assurance for BRSR Core

²¹⁸ *CEAOB Guidelines on Limited Assurance*, European Comm’n (Sept. 2024), https://finance.ec.europa.eu/document/download/8ac2df18-2ae1-4bc7-9d87-a4a740e48f5e_en?filename=240930-ceaob-guidelines-limited-assurance-sustainability-reporting_en.pdf (last visited July 21, 2025) (distinguishing limited assurance, which provides moderate confidence and relies primarily on inquiry and analytical procedures, from more extensive reasonable assurance engagements).

Limitations of the Assurance Framework

Significant gaps persist: reasonable assurance for top 1000 companies is not required until 2026-27, allowing continued greenwashing opportunities. Assurance applies only to “BRSR Core” indicators, a subset of full BRSR, leaving many disclosures unverified. Companies select and pay their own assurance providers, creating potential independence concerns. Unlike financial audits governed by detailed standards, ESG assurance methodologies remain less standardized. The BRSR framework applies only to listed companies, leaving unlisted companies’ environmental claims entirely unverified.²¹⁹

3.5.4 CRITICAL ASSESSMENT: HAS THE TRANSITION ENHANCED ACCOUNTABILITY?

The transition has changed the form of regulation, but not yet the basic accountability problem. India has moved from a spending model to a disclosure model. Neither model, on its own, guarantees truth. The contextual evidence of persistent greenwashing in India, including ASCI monitoring data, NSE-listed companies research, regulatory enforcement actions and the EPR certificate fraud, is discussed in Section 2.5 of Chapter 2.

The deeper problem is the gap between disclosure and performance. Section 135 focuses on inputs, not outcomes. BRSR improves disclosure, but much of that disclosure is still lightly verified or not verified at all. A company can therefore meet formal reporting requirements while presenting a selective or misleading environmental picture.

The transition has also changed where greenwashing happens. Earlier it was often located in advertisements. Now it can also appear in sustainability reports, investor

²¹⁹ SEBI, Circular on Business Responsibility and Sustainability Reporting, Circular No. SEBI/HO/CFD/CMD-2/P/CIR/2021/562 (May 10, 2021) (applying BRSR to the top 1000 listed entities); *see also* SEBI, Circular on BRSR Core Framework, Circular No. SEBI/HO/CFD/CFD-SEC-2/P/CIR/2023/122 (July 12, 2023) (prescribing phased assurance for BRSR Core indicators).

decks and other documents that carry more credibility. That shift makes greenwashing harder to detect and easier to defend as mere compliance.

Corporate disclosure frameworks reduce greenwashing only when three conditions are present: reliable verification, integrated oversight and penalties that outweigh the gains from deception.

India's current framework satisfies the first condition only partially and prospectively (phased assurance), does not satisfy the second (fragmented regulation) and does not satisfy the third (minimal penalties, no personal director liability for greenwashing). Section 166(7)'s maximum fine of ₹5 lakh is trivial relative to greenwashing benefits, there is no mechanism linking misleading BRSR disclosures to personal director liability and the phased implementation timeline creates a multi-year window for minimal verification risk.

While the transition from voluntary CSR to mandatory ESG disclosures has enhanced the accountability framework, it has not demonstrably curbed greenwashing. Disclosure frameworks alone, without verification, integration and deterrence, are insufficient.

3.5.5 THE ACCOUNTABILITY VACUUM: RESPONSIBILITY VERSUS ACCOUNTABILITY

Conceptual Distinction

The difference between responsibility and accountability reflects fundamentally different approaches to corporate obligations.²²⁰ Corporate responsibility operates as a task-oriented duty system where companies manage specific obligations, often shared among multiple actors.²²¹ This framework emphasizes process-oriented compliance rather than measurable outcomes.

²²⁰ Aradhna Sharma, *Corporate Social Responsibility in India: The Emerging Discourse and Concerns*, 1 Indian J. Indus. Rel. 582 (2013); see also Mallika Tamvada, *Corporate Social Responsibility and Accountability: A New Theoretical Foundation for Regulating CSR*, 5 Int'l J. Corp. Soc. Resp. 1, 3–5 (2020) (distinguishing responsibility from accountability as legal concepts).

²²¹ Sudeepa Jaiswal & Narendra Kumar Thapak, *Need For Corporate Accountability*, 12 Int'l J. Creative Rsch. Thoughts IJCRT2409608 (2024).

Accountability is different. It identifies who bears consequences when those obligations fail.²²² It demands demonstrable results and acceptance of sanctions when standards are not met. Responsibility frameworks such as voluntary CSR often rely on soft-law commitments; accountability frameworks build external scrutiny and legal consequences into their structure.²²³

The Enforceability Deficit

Voluntary vs. Mandatory Frameworks: Voluntary schemes face an obvious commitment problem: firms can adopt low-cost or market-creating improvements without bearing the full cost of more demanding reforms.²²⁴

Legal vs. Moral Obligations: Legal obligations are enforceable. Moral obligations depend on uncertain reputational pressure.

Stakeholder Sanctioning Power: Accountability also requires someone with power to act. Without standing, monitoring access, or remedial tools, stakeholders cannot convert misleading claims into consequences.

Enforcement Challenges

Implementing effective accountability faces significant hurdles: *Regulatory Enforcement Limitations* with agencies often lacking resources and expertise; *Jurisdictional Challenges* where transnational corporations exploit regulatory

²²² Min Yan & Daoning Zhang, *From Corporate Responsibility to Corporate Accountability*, 58 Bus. Horizons 451 (2015) (discussing the accountability shift in corporate governance).

²²³ Sudeepa Jaiswal & Narendra Kumar Thapak, *Need For Corporate Accountability*, 12 Int'l J. Creative Rsch. Thoughts IJCRT2409608 (2024); see also Aradhna Sharma, *Corporate Social Responsibility in India: The Emerging Discourse and Concerns*, 1 Indian J. Indus. Rel. 582 (2013); see also Mallika Tamvada, *Corporate Social Responsibility and Accountability: A New Theoretical Foundation for Regulating CSR*, 5 Int'l J. Corp. Soc. Resp. 1, 10–12 (2020).

²²⁴ David Vogel, *Corporate Responsibility for the Environment*, in *The Market for Virtue: The Potential and Limits of Corporate Social Responsibility* 110, 112 (Brookings Inst. Press 2006), <https://www.jstor.org/stable/10.7864/j.ctt6wpg2c.9> (last visited May 18, 2024) (explaining that the impact of voluntary environmental improvements is limited by uneven corporate commitments, the small demand for greener products, and, in some cases, higher costs).

arbitrage; and *Access to Justice Barriers* where victims face high costs, delays and systemic biases.²²⁵

Strengthening Accountability for Greenwashing Prevention

Reducing greenwashing requires a move from responsibility language to accountability structure.²²⁶ That means stronger verification, clearer standing, better remedies and penalties strong enough to change behaviour. It also supports cost-internalising remedies for misinformation that distorts environmental decision-making.²²⁷

This discussion raises a central question: can the existing fiduciary duties of directors under Section 166(2) serve as an alternative pathway for imposing liability on those who authorize or approve greenwashing?

3.6 FIDUCIARY DUTIES AND ENVIRONMENTAL ACCOUNTABILITY UNDER INDIAN LAW

This section asks a narrower question: can Section 166(2) be used, as the law now stands, to hold directors answerable for greenwashing? The answer is doctrinally stronger than it first appears, but the enforcement path remains weak. A preliminary observation is warranted regarding the state of judicial authority on Section 166(2)'s environmental limb.

Available reported decisions and current commentary indicate that no Indian court has yet directly adjudicated a claim of director duty breach based on failure to protect the environment under Section 166(2). This paucity of case law is not a methodological

²²⁵ Min Yan & Daoning Zhang, *From Corporate Responsibility to Corporate Accountability*, 58 Bus. Horizons 451 (2015); see also Geoffrey Heal, *When Principles Pay: Corporate Social Responsibility and the Bottom Line* 35–60 (Columbia Univ. Press 2008).

²²⁶ Sudeepa Jaiswal & Narendra Kumar Thapak, *Need For Corporate Accountability*, 12 Int'l J. Creative Rsch. Thoughts IJCRT2409608 (2024); see also Aradhna Sharma, *Corporate Social Responsibility in India: The Emerging Discourse and Concerns*, 1 Indian J. Indus. Rel. 582 (2013); see also Mallika Tamvada, *Corporate Social Responsibility and Accountability: A New Theoretical Foundation for Regulating CSR*, 5 Int'l J. Corp. Soc. Resp. 1, 15–18 (2020).

²²⁷ Deepa Singh, *Strengthening Corporate Accountability in India: A Governance Perspective*, 8 Indian J. Corp. Governance 45 (2024) (discussing enforcement mechanisms that internalise the costs of corporate misconduct through stronger accountability structures).

limitation of this study but is itself a doctrinal finding: it reflects the “dead letter” character of Section 166(2)’s environmental mandate that scholarly commentary has identified.

Legal practitioners have observed that “since the Indian Companies Act came into force, the courts in India have not had the opportunity to consider any challenge to a board’s decision on the ground that the same is in violation of the director’s duty to protect the environment”.²²⁸ The Commonwealth Climate and Law Initiative’s formal legal opinion on India identifies significant procedural hurdles for enforcement.²²⁹ Recent doctrinal commentary characterises Section 166(2) as “not potent enough to prohibit and penalize directors for violating their sustainability obligations” due to its broad scope and interplay with the business judgment rule.²³⁰ Peer-reviewed analysis confirms that directors face “challenges in comprehending their legal obligations” under the interacting regimes of company law, securities regulation and environmental statutes, with enforcement remaining largely theoretical.²³¹ Varottil, in his comparative analysis, describes the environmental limb of Section 166(2) as “largely unenforceable in practice” owing to the absence of standing for non-shareholder

²²⁸ See Abhijnan Jha & Urvashi Misra, *Company’s Interest vs Duty to Protect the Environment – A Director’s Balancing Act*, AZB & Partners (Sept. 5, 2023), <https://www.azbpartners.com/bank/companys-interest-vs-duty-to-protect-the-environment-a-directors-balancing-act> (last visited June 3, 2024) (observing that “since the Indian Companies Act came into force, the courts in India have not had the opportunity to consider any challenge to a board’s decision on the ground that the same is in violation of the director’s duty to protect the environment”).

²²⁹ Shyam Divan, Sugandha Yadav & Ria Singh Sawhney, *Directors’ Obligations to Consider Climate Change-Related Risk in India*, Commonwealth Climate and Law Initiative (Sept. 7, 2021), <https://commonwealthclimatelaw.org/publication/directors-duties-and-climate-change-in-india> (last visited June 7, 2024); discussed at *Directors’ Duties and Climate Change in India* webinar (Oct. 4, 2021).

²³⁰ Divyanshu Sharma, *Reflecting on Justice Gavai’s Remarks for Enforcement of ‘Corporate Social Responsibility’*, The Indian Review of Corporate and Commercial Laws (Oct. 6, 2023), <https://www.irccl.in/post/reflecting-on-justice-gavai-s-remarks-for-enforcement-of-corporate-social-responsibility> (last visited June 13, 2024) (arguing that Section 166(2) is “not potent enough to prohibit and penalize directors for violating their sustainability obligations” due to its broad scope and the business judgment rule, and advocating for a narrower sustainability-based duty amendment).

²³¹ Hemavathi Soma Shekhar & Vidhi Madaan Chadda, *Directors’ Duty Towards Climate Risk Mitigation: A Critical Appraisal of the Legal Framework and Emerging Trends*, 5(2) Corp. L. & Governance Rev. 64 (2023), <https://doi.org/10.22495/clgrv5i2p7> (last visited June 17, 2024) (examining how directors’ codified duties under company law, securities regulation, and environmental statutes interact with climate risk, with an India-specific doctrinal and case-law survey).

stakeholders, while the Centre for Business Law and Taxation (CBLT-GNLU) characterises it as potentially a “dead letter”, a law that exists on the statute book but lacks practical enforcement.²³²

This scholarly consensus supports the thesis’s identification of the “accountability vacuum” and provides important context for the interpretive analysis that follows: the interpretation of Section 166(2) developed below represents a reasoned doctrinal construction based on statutory text, legislative history and available judicial authority, but it remains judicially untested in the specific greenwashing context.

Nevertheless, the interpretation of Section 166(2) developed in following sections represents a reasoned doctrinal analysis based on statutory text, legislative history and available judicial interpretation.

3.6.1 THE ENVIRONMENTAL PROTECTION MANDATE IN COMPANIES ACT, 2013

Section 166 codifies director duties in statutory form.²³³ Section 166(2) states that a director must act in good faith to promote the objects of the company for the benefit of its members as a whole and in the best interests of the company, its employees, its shareholders, the community and for the protection of environment.

This provision is notable for several reasons:

1. *Express Environmental Duty*: Unlike many common law jurisdictions where environmental considerations are derivative of business judgment, Section

²³² Umakanth Varottil, *The Stakeholder Approach to Directors’ Duties Under Indian Company Law*, in *Comparative Corporate Governance* 141, 155–59 (Mathias Siems & David Cabrelli eds., 2018) (describing the environmental limb of Section 166(2) as “largely unenforceable in practice” and noting the absence of standing for non-shareholder stakeholders); *see also* Piyush Senapati, *Protection of the Environment as Envisioned in Section 166(2) of the Companies Act: A Dead Letter* (2023), <https://www.cbltrgnul.in/post/protection-of-the-environment-as-envisioned-in-section-166-2-of-the-companies-act-a-dead-letter> (last visited June 18, 2024) (characterising Section 166(2)’s environmental limb as potentially unenforceable in practice).

²³³ N.V. Narasimham Murthy, *Corporate Governance and its Relevance to India*, 1 Indian J. Corp. Governance 1 (2011); *see also* Companies Act, 2013, No. 18, § 166 (India).

166(2) explicitly mandates that directors act “for the protection of environment”, a statutory duty, not merely a permissive consideration.

2. *Pluralistic Beneficiary Framework:* The section identifies multiple beneficiaries, members, employees, shareholders, community and environment, departing from exclusive shareholder primacy.
3. *Integration with Fiduciary Standards:* The duty is framed within the overarching requirement to “act in good faith in order to promote the objects of the company”, situating environmental protection as integral to corporate purpose.

3.6.2 INTERPRETING “PROTECTION OF ENVIRONMENT” AS A DIRECTOR’S DUTY

Scope of the Duty

The phrase “for the protection of environment” is broad.²³⁴ At the very least, it requires directors to ensure compliance with environmental law.²³⁵ A wider reading is also plausible. If misleading environmental claims help conceal harmful practices or delay correction, accuracy itself becomes part of environmental protection.

The Good Faith Qualification

The duty is framed through good faith and promotion of the company’s objects. Two readings are possible:

1. *Instrumental Interpretation:* Environmental protection is one consideration among many, to be balanced against profitability. Directors satisfy their duty by giving reasonable consideration to environmental factors.

²³⁴ Mohammad Talib, *Environmental Regulations and Corporate Legal Responsibilities in India*, 15 J. Env’t L. & Pol’y 112 (2024).

²³⁵ Environment (Protection) Act, 1986, No. 29, Acts of Parliament (India); Air (Prevention and Control of Pollution) Act, 1981, No. 14, Acts of Parliament (India); Water (Prevention and Control of Pollution) Act, 1974, No. 6, Acts of Parliament (India).

2. *Deontological Interpretation:* The express inclusion of environmental protection creates a non-derogable constraint. Directors cannot invoke commercial interest to justify environmental harm or misrepresentation.

The stronger reading is that Section 166(2) sets a floor, not a ceiling. Directors must at least avoid conduct that harms the environment or misleads stakeholders about environmental performance.

3.6.3 GREENWASHING AS A BREACH OF FIDUCIARY DUTY

The Case for Liability

Several arguments support treating greenwashing as a breach of Section 166(2):

1. *Undermining Environmental Protection:* Greenwashing subverts the statutory objective by misleading consumers and investors, reducing competitive pressure on firms to improve, distorting capital allocation toward less sustainable firms and delaying necessary environmental action.
2. *Bad Faith Conduct:* Deliberate misrepresentation is inconsistent with the good faith standard. Directors who knowingly authorize misleading environmental claims act in bad faith toward the multiple constituencies identified in Section 166(2).
3. *Harm to Corporate Interest:* Greenwashing exposes the company to sanctions, reputational damage, litigation risk and loss of trust.²³⁶ A director who permits it may therefore also act against the company's own interests.

Obstacles to Liability

1. *Limited Private Right of Action:* Section 166(7) says a director is liable in accordance with the Act, but the Act does not clearly give environmental

²³⁶ Wei Li et al., *Effects of Greenwashing on Financial Performance: Moderation Through Local Environmental Regulation and Media Coverage*, 32 Bus. Strategy & Env't 2890 (2023); see also Kishwar et al., *Exploring the True Shade of Green: A Critical Examination of the Central Consumer Protection Authority's Guidelines on Corporate Greenwashing*, 12 Int'l J. Consumer L. & Prac. Art. 3 (2024).

stakeholders a direct cause of action. In practice, enforcement usually depends on the company, the SEBI, or the MCA.

2. *Standing Still Remains Narrow*: Even where company law offers collective remedies, such as class-action style proceedings, they are generally tied to members and depositors. That does not solve the standing problem for communities, consumers, or environmental groups affected by greenwashing.
3. *Business Judgment Deference*: Courts usually defer to board decisions unless fraud, bad faith, or gross negligence is shown. Directors may argue that they relied in good faith on internal reports or external certifications.
4. *Causation Difficulties*: It can be hard to link a specific green claim to identifiable legal harm.
5. *Competing Duties*: Directors may still invoke shareholder interest or commercial pressure, even though Section 166(2) weakens that defence by expressly naming environmental protection.

3.6.4 THE ABSENCE OF SPECIFIC PENAL PROVISIONS FOR ENVIRONMENTAL MISREPRESENTATION

A major weakness in the current framework is the absence of a tailored penalty structure for misleading environmental disclosures in company law. That gap helps explain the accountability vacuum.

Current Penalty Framework

Section 166(7) of the Companies Act provides:

“If a director of the company contravenes the provisions of this section, he shall be punishable with fine which shall not be less than one lakh rupees but which may extend to five lakh rupees”.

The provision has three obvious limits:

1. *Minimal Deterrent Effect*: A maximum fine of ₹5 lakh is trivial relative to the financial gains achievable through greenwashing.

2. *No Imprisonment Provision:* Unlike certain other breaches under the Companies Act (e.g., fraud under Section 447), breach of Section 166 duties does not attract imprisonment.
3. *Enforcement Deficit:* Prosecution under Section 166(7) requires initiative from the Registrar of Companies or other prescribed authorities. There is no evidence of prosecution specifically for environmental misrepresentation under this provision.

Table 3.4: Comparative Penalty Framework for Related Legal Violations

Provision	Offence	Maximum Penalty
Section 166(7)	Breach of director duties (including environmental)	₹5 lakh fine
Section 447	Fraud	10 years imprisonment + fine up to 3x fraud amount
Section 448	False statements	6 months imprisonment + fine up to ₹1 lakh
SEBI LODR	Securities law violations	₹25 crore or 3x unlawful gains
CCPA Guidelines	Greenwashing in advertisements	₹10 lakh (entity), ₹50 lakh (repeat)

The comparison shows the mismatch clearly. Misleading environmental disclosures in a governance setting attract far weaker consequences than comparable misconduct in securities or consumer law.

3.6.5 THE M.K. RANJITSINH JUDGMENT: CONSTITUTIONAL FOUNDATION FOR DIRECTOR ENVIRONMENTAL ACCOUNTABILITY

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The Supreme Court's judgment in *M.K. Ranjitsinh v. Union of India* (2024) strengthens the constitutional background against which Section 166(2) must now be read.

Recognition of Climate Protection as Fundamental Right

The Court recognised a right to be free from the adverse effects of climate change under Articles 14 and 21. That changes the interpretive setting. Environmental protection is no longer only a statutory concern; it also has a constitutional dimension.

Dual Responsibility of Directors

The judgment also emphasised that directors must protect company interests while ensuring environmental protection. That language reinforces the plural structure of Section 166(2) and makes it harder to treat environmental protection as a mere optional factor.

Implications for Greenwashing Liability

For present purposes, *M.K. Ranjitsinh* matters in four ways:

1. *Elevated Interpretive Standard*: It raises the status of environmental protection when courts interpret Section 166(2).
2. *Constitutional Dimensions of Deception*: Misleading environmental claims may now be seen as undermining constitutionally protected environmental interests, not just statutory disclosure rules.
3. *Duty to Ensure Accuracy*: It strengthens the argument that directors must ensure environmental claims are truthful.

²³⁷ *M.K. Ranjitsinh v. Union of India*, 2024 SCC OnLine SC 570 (India).

4. *State Obligation to Enforce*: It supports the argument for stronger state enforcement where corporate conduct undermines environmental protection through deception.

Limitations and Open Questions

Despite its significance, *M.K. Ranjitsinh* leaves several questions unanswered:

- The case did not directly address corporate environmental disclosures or greenwashing, leaving specific application to misleading claims undeveloped.
- The judgment does not specify remedial mechanisms for violations of the constitutional right by private corporate actors.
- The relationship between the constitutional right and Section 166(2) requires judicial elaboration through future cases.

Even with those limits, *M.K. Ranjitsinh* gives the strongest constitutional support for reading Section 166(2) as a real duty rather than a symbolic one.

3.6.6 SUMMARY OF DOCTRINAL FINDINGS ON SECTION 166(2) (*LEX LATA*)

The *lex lata* position may be stated briefly:

1. *Textual finding*: Section 166(2) creates an express statutory duty on directors to act “for the protection of environment”, a duty that is textually co-ordinate with, not subordinate to, the duties owed to shareholders, employees and the community.
2. *Interpretive finding*: The *M.K. Ranjitsinh* judgment (2024) constitutionalises this duty by anchoring environmental protection in the fundamental rights under Articles 14 and 21, elevating Section 166(2) from a purely statutory obligation to a constitutionally-grounded mandate. The *Tata-Mistry* decision, *Tata Consultancy Services Ltd. v. Cyrus Investments Pvt. Ltd.*, (2021) 9 SCC 449, ¶ 19.30, confirms that the environmental duty constitutes a freestanding limb of Section 166(2), independent of the community interest.

3. *Critical finding:* Despite this strong textual and interpretive foundation, Section 166(2)'s environmental mandate is rendered largely unenforceable in the greenwashing context by: (a) a standing lacuna, no clear mechanism for environmental stakeholders to enforce the correlative claim-right; (b) penalty inadequacy, Section 166(7)'s maximum fine of ₹5 lakh is trivial relative to greenwashing benefits; (c) an enforcement deficit, no reported prosecution for environmental duty violations under Section 166(2); and (d) an assurance gap, the absence of mandatory verification for most environmental claims.
4. *Scholarly consensus:* Legal practitioners and academic commentators uniformly characterise Section 166(2)'s environmental limb as a potential “dead letter”, supporting the thesis's identification of the accountability vacuum as a structural feature of the current legal architecture.

3.7 CONCLUSION

This chapter shows that the legal foundation for greenwashing liability in India is stronger than enforcement practice suggests. The doctrine is not missing. The conversion of doctrine into consequences is.

Doctrinal Findings

First, the jurisprudential analysis shows that the five theories of corporate personality, Fiction, Realist, Purpose, Stakeholder and Contractual, produce very different models of environmental accountability. Indian corporate law, particularly through Section 166(2), sits closest to the Realist-Stakeholder position. That matters because it supports reading environmental protection as an express legal duty rather than a background ethical preference. The Hohfeldian analysis then gives that duty sharper edges by identifying the legal relations hidden inside the broader language of responsibility. Principal-agent theory complements that picture by showing why a duty can exist formally and still remain weak in practice.

Second, the examination of India's transition from voluntary CSR (Section 135) to mandatory ESG disclosures (SEBI BRSR) produced the following doctrinal finding: the statutory framework creates disclosure obligations but not comprehensive

verification mandates, parallel but uncoordinated duties across separate enabling statutes and penalties disproportionate to the commercial benefits of misleading claims. Responsibility mechanisms curb greenwashing only when the legal framework is designed around verification, integration and deterrence. These conditions are satisfied only partially in the current scenario.

Third, the interpretive analysis of Section 166(2) shows that the provision creates a textually strong, constitutionally grounded (through M.K. Ranjitsinh) and judicially recognised environmental duty, including in *Tata Consultancy Services Ltd. v. Cyrus Investments Pvt. Ltd.*, (2021) 9 SCC 449, ¶ 19.30. Yet the enforcement architecture leaves that duty largely under-used. The standing lacuna, inadequate penalties, weak enforcement practice and assurance gap are not minor implementation defects. They are the reason the duty can look powerful in doctrine and thin in practice.

Interpretive Findings

Three conclusions follow. First, greenwashing can amount to breach of fiduciary duty under Section 166(2) because it frustrates the statutory objective, can involve bad faith and predictably exposes the company to regulatory and reputational harm. Second, M.K. Ranjitsinh raises the interpretive stakes by constitutionalising environmental protection and strengthening the case for stricter scrutiny of misleading environmental claims. Third, this doctrinal pathway remains largely untested in court. That uncertainty does not erase the duty. It shows where the next stage of legal development must occur.

These conclusions set up the comparative analysis that follows in Chapter 4. Chapter 4 examines how other jurisdictions address similar problems through regulatory design, enforcement architecture and director/officer liability.